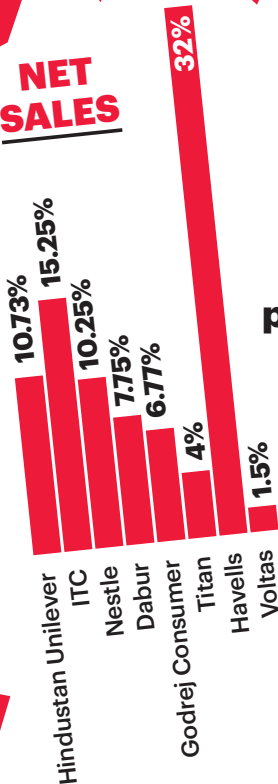


SQUEEZING DRY

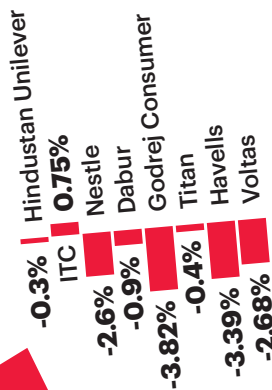
Margins were under pressure for most leading consumer goods companies in Jan-March 2022 as prices of commodities spiked

YoY change in %

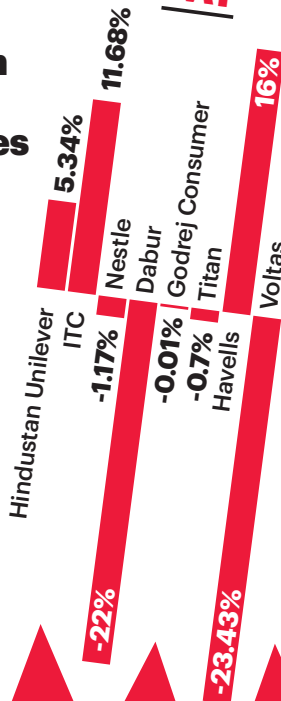
NET SALES



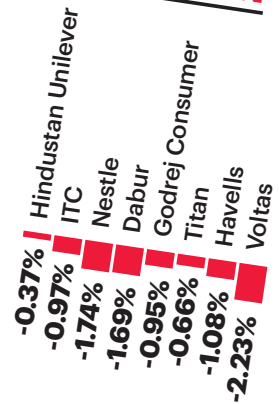
EBITDA MARGIN



PAT



PAT MARGIN



Source: BSE, companies, Edelweiss Securities, Geojit BNP Paribas, HDFC Securities, ICICI Securities

likely to be a key factor in the short- to medium-term. He is betting on higher levels of efficiencies and smart pricing to tide over the crisis. "We are confident of facing this turbulence with strategies of scale, efficiencies, mix and pricing, which we will deploy judiciously," he says.

According to HUL's CFO Ritesh Tiwari, the operating environment remains challenging, with commodity inflation continuing to be a headwind. "Recent developments have added volatility to commodity markets, pushing prices for commodities including Brent crude, vegetable oil and agri commodities even higher," he says.

The only way out, says Choksey, is for companies in sectors such as information technology, financial services, pharmaceuticals and knowledge-driven manufacturing sectors to offer healthy wage hikes in FY23. That may help sustain volumes for consumer goods manufacturers and provide affordability to customers, he says, suggesting hikes of at least 7-8 per cent.

However, Deepak Jasani, Head of Retail Research at HDFC Securities, says there is some hope with the prices of some commodities tapering off. "Sugar prices have not surged while palm oil prices have begun to come down. While on a YoY basis direct costs are still high, sequentially they are slowly coming down," he says. But indirect costs like fuel prices continue to be high. "So, on a YoY basis, margins will be lower," adds Jasani. While most manufacturers have effected price hikes in recent months,

consumers are also down-trading on staples. The final impact of these dynamics on companies' margins in the coming quarters, therefore, is still unclear, he says.

B. Thiagarajan, MD of Indian AC major Blue Star, is optimistic about the future. According to him, prices of key commodities like steel, copper and aluminium—widely used in making white goods—are stabilising. "Various countries are trying to tame inflation; therefore, commodity prices are expected to come under control soon. I think the commodity cycle is coming to an end," he says.

The pandemic may turn out to be a blessing in disguise for manufacturers as disruptions in the global supply chain over the past two years have boosted the country's prospects as an alternative hub for component manufacturing, Thiagarajan says. Focussing on localisation of production, investment in R&D and attaining economies of scale are the only ways forward, he says. To ramp up production in the wake of higher demand, Blue Star is setting up a new plant at Sri City, Telangana, by availing the government's production-linked incentive (PLI) scheme.

While manufacturers may have to continue to deal with inflation in the near future, there are some positives, too. But till commodity prices cool down, India Inc. will have to survive on hope. **BT**

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